

Fearnleys Dry Bulk Weekly

Jan 28, 2026



Capesize/Newcastlemax

Our expectations for a Jan/Feb low season comparable to 2024 have so far been exceeded. An index move like yesterday is extreme, considering we are in January.

We think the market could still cool off a bit due to the upcoming Chinese New Year, but in general, we expect firm levels.

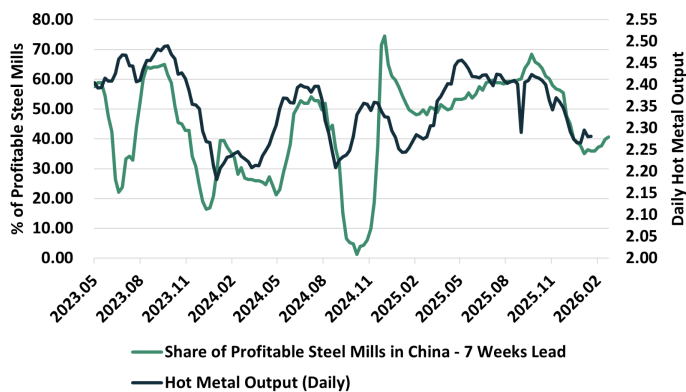
Top left chart: The share of profitable steel mills in China ticked up last week, and profit margins for hot-rolled coils turned positive for the first time since early October. Hot metal output is 2% higher year on year.

Top right chart: The iron ore price complex is giving mixed signals. Spot prices remain stable, but the 1st month minus 3rd month futures spread has dipped into a slight contango. The price spread between higher-grade Brazilian ore and Australian iron ore is low. The latter is often bullish for freight as it incentivises longer-haul shipments.

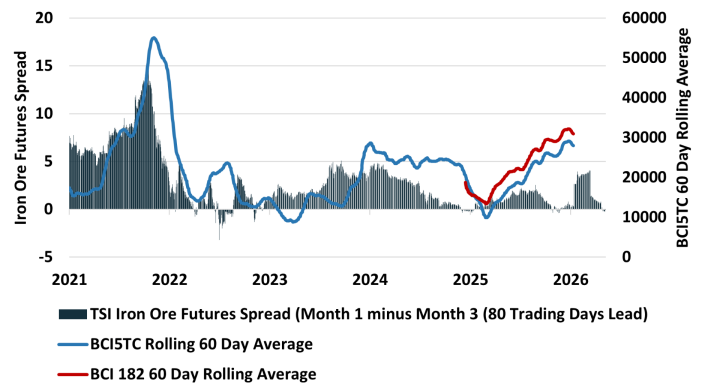
Bottom left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next few months.

Bottom right chart: There has been an increase in the share of the active fleet in shipyards since the start of the new year. From 0.9% to 1.4% currently. We will see this rise above 2% frequently this year.

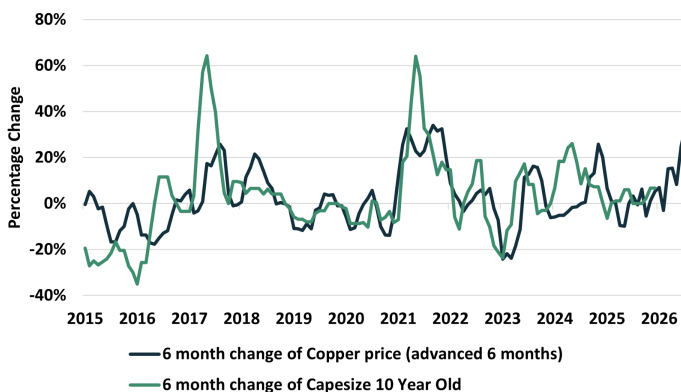
Share of Profitable Steel Mills (7 Weeks Lead) vs Hot Metal Output



Iron Ore Futures Spread, 1st Month Minus 3rd Month (3 Months Lead) vs BCI5TC 60 Days Rolling Average



Copper Price Lead vs Capesize 10-Year Old



Share of Fleet in Shipyards



Panamax/Kamsarmax

Indicators below still look bullish, but expect some flattening out or slightly downward move to occur around the Chinese New Year weeks. Then, we expect a resumption of the rally after that.

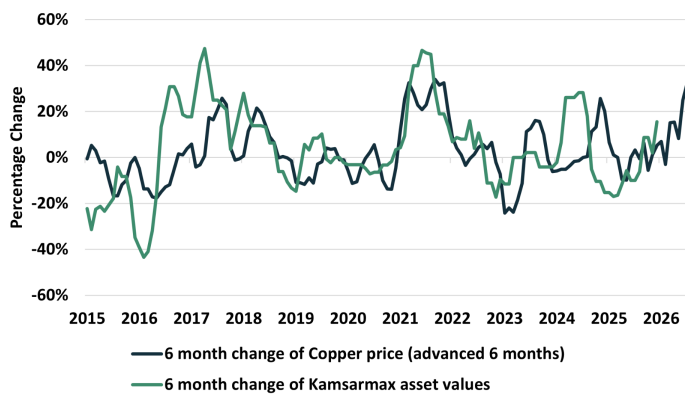
Top left chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

Top right chart: Since last week, the coal futures turned a bit more bullish again and are in a slight contango. Bullish suggestion to the P5 development going forward.

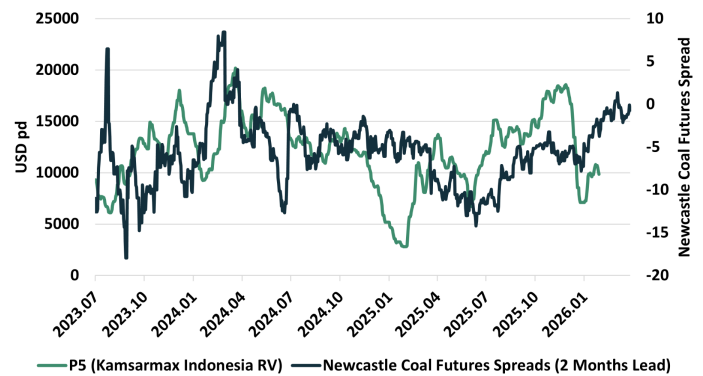
Bottom left chart: The net vessel change into the North Atlantic is positive, which more often than not correlates with a relative outperformance in the basin. That, along with positive indicators on the main routes should mean the basin will see a stable to firm development going forward.

Bottom right chart: The SATL tightness indicator suggests the market will trend up going forward.

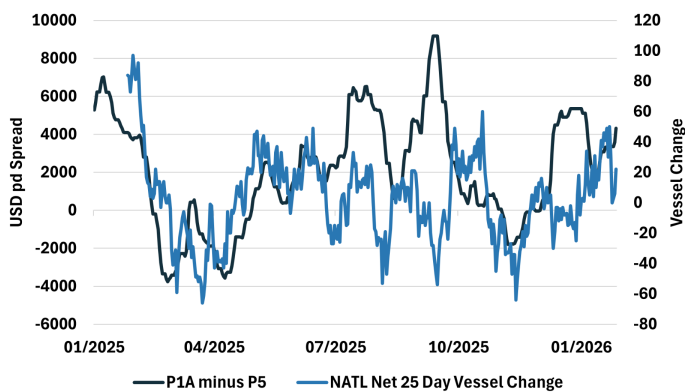
Copper Price Lead vs Kamsarmax 10 Year Old



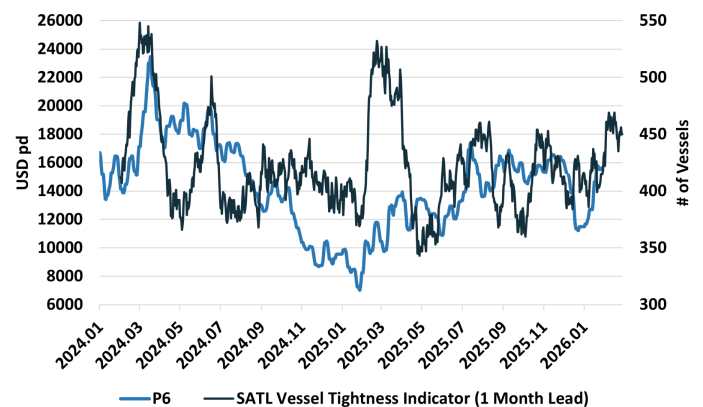
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



North Atlantic net Vessel Change vs P1A minus P5



South Atlantic Vessel Tightness Indicator (Lead 1 Month), vs P6



Supramax/Ultramax

We still expect a stable to firm market development over the coming weeks. A real rally will likely have to wait until after the Chinese New Year.

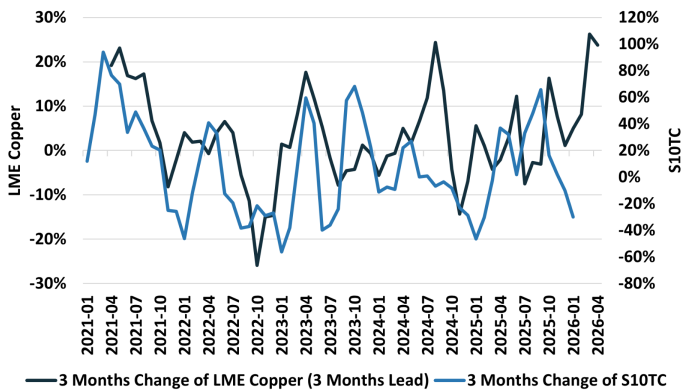
Top left chart: The three-month change in the price of copper looks very bullish for the coming months, and the three-month change of the S10TC index is very low.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

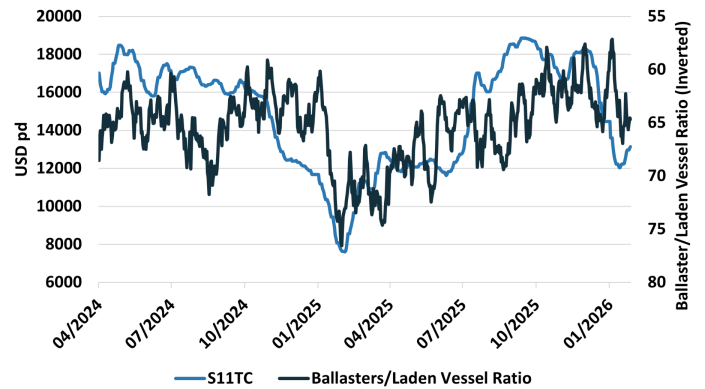
Bottom left chart: An industrial metals index including metals like Aluminium, Zinc and Nickel. This index is now at similar heights to the peak in Q1 2022. Can market levels climb to the same heights as back then? We don't think so, but the highest *since* then is not unreasonable to expect.

Bottom right chart: The price of copper is a good barometer of global industrial activity, and leads asset values with high accuracy. The suggestion is for further upside in values in the next months.

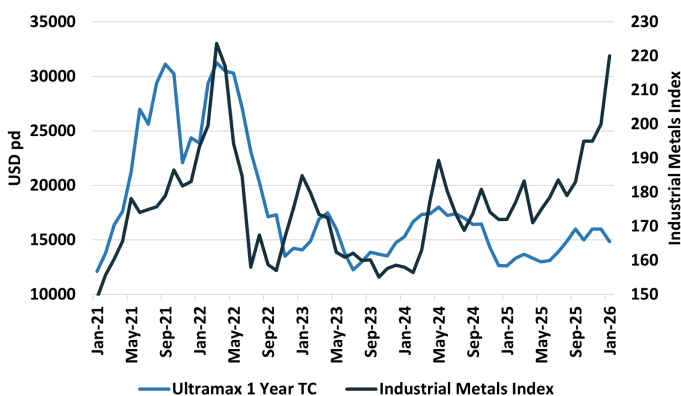
Copper Price 3 Months Change, 3 Months Lead vs 3 Months Change of Supra 10TC



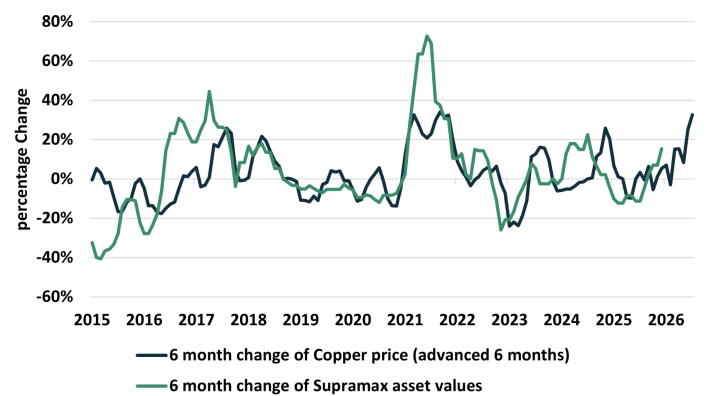
S11TC vs Ballaster/Laden Vessel Ratio



Industrial Metals Index vs Ultramax 1 Year TC



Copper Price Lead vs Supramax 10-Year Old





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company